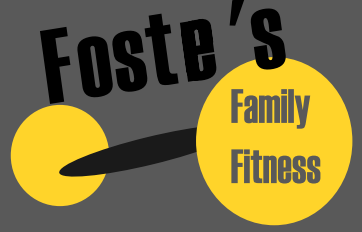
P2P Viability Report

By: Peter Polner





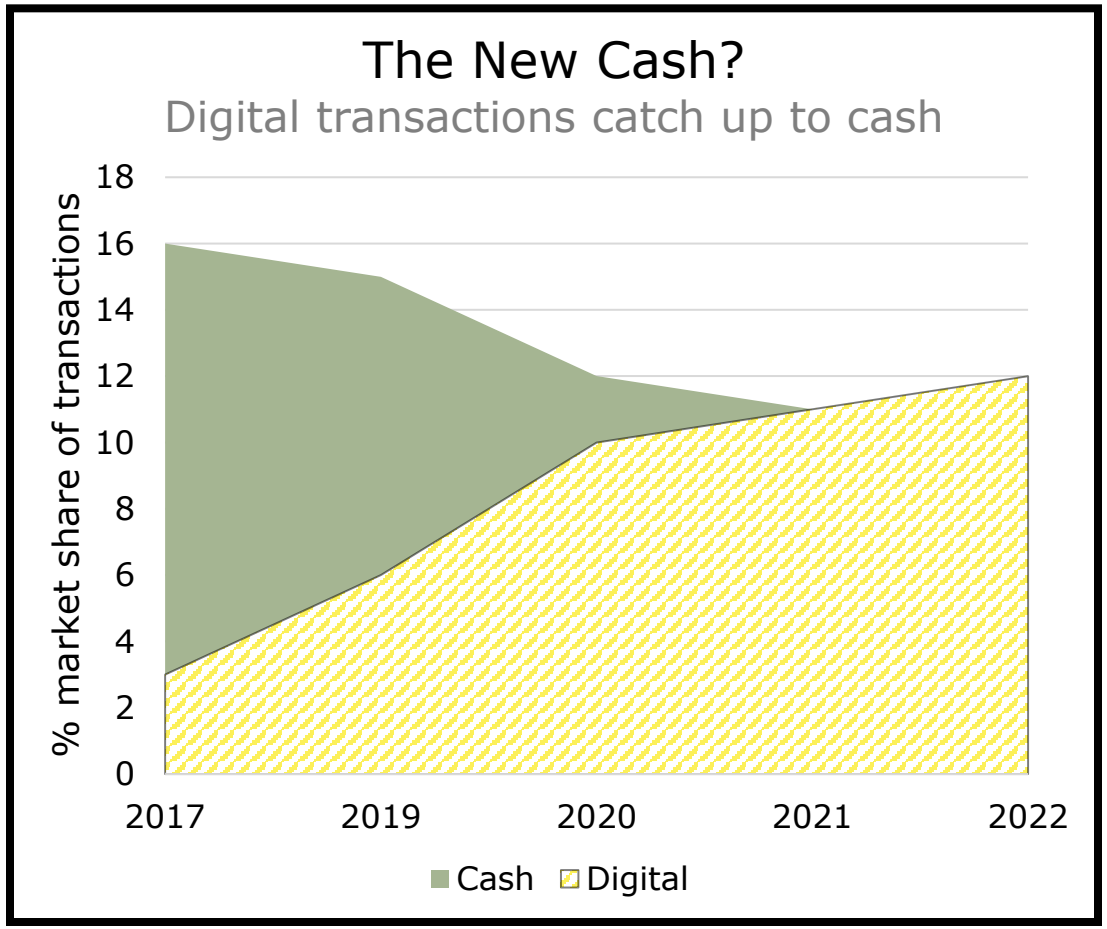
Your Position

- Small family gym
  - In operation for over 10 years
- ~15-20 Employees
- Offers: facilities, classes, and shakes/supplements



- **Goal:** implement P2P payment for <u>classes</u> and <u>shake sales.</u>

Is this the best move for your business?

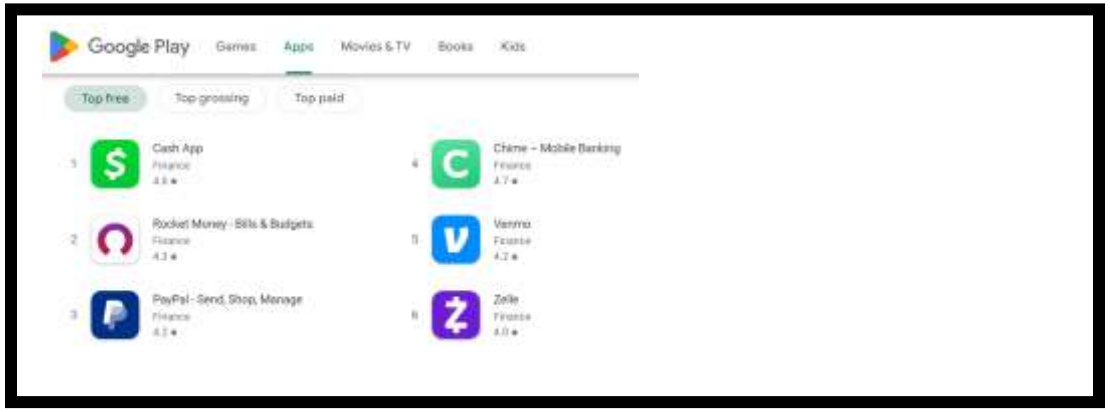


- Digital payments are used at same rate as cash
- Easier integration for some POS systems
- Harder for gym goers to use cash
- Familiar to young adults

Statista Market share of cash, credit cards, and other payment methods at point of sale (POS) in the United States in 2017, 2019, 2020, 2021, and 2022. Retrieved 12/20/2023 from https://www-statista-com.ezproxy.bellevuecollege.edu/statistics/568523/preferred-payment-methods-usa/

Our Selection process

- Align with <u>your</u> goals
- Has to have wide reach
- Easy to use & familiar to customers





Google Play Apps, Top Free Finance retrieved from https://play.google.com/store/apps/category/FINANCE

Peer-to-Peer Options

PayPal	• Publicly Traded Company • 426M active accounts (2023)
Zelle	• Owned by multiple banks • 40-80M users (estimate)
Venmo	• Owned by PayPal • 76M (2021)
Cash App	• Owned by Block (Formerly Square) • 51M (2023)

Paypal Q4-21 Investor Update. Retrieved 12/20/2023 from https://investor.pypl.com/news-and-events/events/event-details/2022/PayPals-Q4-2021-Earnings-Call/default.aspx
Yahoo Finance: PayPal's Venmo is morphing into a 'super app': BofA. Retrieved 12/20/2023 from https://finance.yahoo.com/news/pay-pals-venmo-is-morphing-into-a-super-app-bank-of-america-144350277.html.
Reuters Block says Cash App has 44 mln verified monthly users after Hindenburg report. Retrieved 12/20/2023 from https://www.reuters.com/technology/block-says-cash-apps-44-mln-monthly-users-out-51-mln-have-verified-accounts-2023-03-30/.

Option 1: PayPal



- Early in digital payments
- Vast market share of <u>online</u> transactions
  - Owns venmo which is easier for bank transfers

Option 2: Venmo

venmo

- Markets fast “social” payments
- Part of PayPal’s payment systems
  - integrated to POS
  - PayPal fraud protection

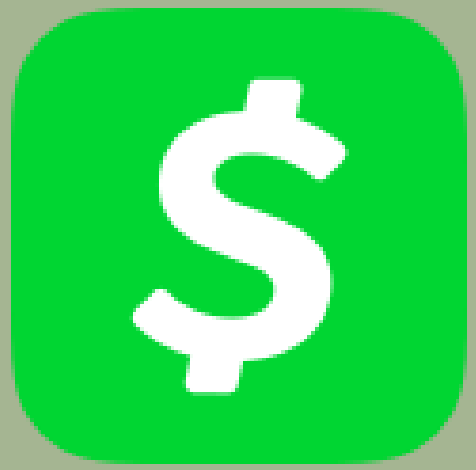
Option 3: Zelle



- Owned by “Early warning services, LLC.” a fraud-prevention company
  - 99% clean transactions
  - Compatible with many national banks
- Instant bank transfer
  - No Merchant Fees (depends on bank)

Zelle - Zelle® Reaches Five-Year Milestone with More than Five Billion Safe, Secure Transactions. Retrieved 12/20/2023 from https://www.zellepay.com/press-releases/zeller-reaches-five-year-milestone-more-five-billion-safe-secure-transactions

Option 4: Cash App



- Integrated with square (POS systems)
- Young demographic
  - Small amounts
- Scams can be prevalent

Reader's Digest - 10 Common Cash App Scams & Hacks: How to Stay Safe. Retrieved 12/20/2023 from https://www.rd.com/article/cash-app-scams/

Thank you for listening to our presentation!

Please refer to out report!



Protections

- 1/3 small businesses severely impacted by credit card fraud & chargebacks
  - P2P systems can make them prevalent
  - Strong business protection (along with consumer)
- Our ranking of safety:

1 Zelle 2 PayPal venmo 3 $

Fees

- Fees can hurt you
  - With large sales volumes

Service	PayPal	Venmo	Zelle	Cash App
Fee (%)	2.99%+Fee	1.9%+Fee	0%, varies by bank	2.75%

Options & Our Recommendation

Cash App

- If square POS system
- Business account for service sales (transfer)

Zelle

- Optimal for product sales
- Fast transfers could prove useful for service sales

Venmo (PayPal)

- Use Venmo instead of PayPal
- Easy service sales

Our Recommendation

- Zelle for product sales
- Venmo for service sales

Thank you for listening to our presentation!

We’d love to work with you in the future!

